

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and
Chief Executive Officer
February 23, 2010



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2009 and 2008 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2009 and 2008 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 23, 2010

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2009	2008
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 57,698	$ 11,721
Accounts receivable (Note 3)	63,620	57,079
Inventories (Note 4)	56,659	58,696
Future tax asset (Note 16)	1,640	5,388
Prepaid expenses and other assets	4,438	12,977
	$ 184,055	$ 145,861
Property and equipment (Note 5)	387,252	417,150
Goodwill	386,807	404,484
Other long-term assets (Note 6)	11,620	9,964
Other intangible assets (Note 7)	16,678	17,451
	$ 986,412	$ 994,910
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	$ 4,247	$ 8,894
Accounts payable and accrued charges	172,172	207,928
Due to Maple Leaf Foods Inc.	3,817	–
Dividends payable	1,525	1,525
Income and other taxes payable	13,155	10,860
Current portion of long-term debt (Note 8)	–	41
	$ 194,916	$ 229,248
Long-term debt (Note 8)	2,547	4,477
Future tax liability (Note 16)	33,338	36,043
Other long-term liabilities (Note 10)	8,524	16,802
Shareholders' equity (Note 11)	747,087	708,340
	$ 986,412	$ 994,910

Contingencies and commitments (Note 20)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



Richard A. Lan
Director



William E. Aziz
Director



Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except share amounts)	2009	2008
Sales	$ 1,705,788	$ 1,708,330
Cost of goods sold	1,365,470	1,411,729
Gross margin	$ 340,318	$ 296,601
Selling, general and administrative expenses	219,781	198,969
Earnings from operations before the following:	$ 120,537	$ 97,632
Restructuring and other related costs (Note 13)	(4,908)	(10,492)
Other income (Note 14)	2,439	14,702
Earnings before interest and income taxes	$ 118,068	$ 101,842
Interest expense (Note 15)	5,084	7,843
Earnings before income taxes	$ 112,984	$ 93,999
Income taxes (Note 16)	35,506	29,063
Net earnings	$ 77,478	$ 64,936
Eearnings per share - basic and diluted (Note 22)	$ 3.05	$ 2.55
Weighted average number of shares (millions)	25.4	25.4

Consolidated Statements of Comprehensive Income

Years ended December 31, (In thousands of Canadian dollars)	2009	2008
Net earnings	$ 77,478	$ 64,936
Other comprehensive income (loss) (Note 12)	(32,644)	14,461
Comprehensive income	$ 44,834	$ 79,397

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2009	2008
Retained earnings, beginning of year	$ 587,163	$ 528,327
Net earnings	77,478	64,936
Dividends declared ($0.24 per share; 2008: $0.24 per share)	(6,100)	(6,100)
Retained earnings, end of year	$ 658,541	$ 587,163

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2009	2008
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	$ 77,478	$ 64,936
Add (deduct) items not affecting cash:		
Depreciation and amortization	54,025	55,425
Future income taxes	67	3,605
Loss on sale of property and equipment	471	103
Change in provision for restructuring and other related costs	2,204	4,037
Amortization of terminated interest rate swaps	1,975	–
Other	(2,859)	1,419
Change in non-cash operating working capital	(24,315)	7,910
Cash provided by operating activities	$ 109,046	$ 137,435
Financing activities		
Dividends paid	(6,100)	(6,100)
Decrease in long-term debt	(1,971)	(103,132)
Settlement of interest rate swaps with Maple Leaf Foods Inc.	(8,502)	80,586
Cash used in financing activities	$ (16,573)	$ (28,646)
Investing activities		
Additions to property and equipment	(41,659)	(54,170)
Proceeds from sale of property and equipment	547	512
Acquisition of businesses, net of cash acquired (Note 19)	–	(44,827)
Change in intangible assets	501	(479)
Other	(1,238)	–
Cash used in investing activities	$ (41,849)	$ (98,964)
Increase in cash and cash equivalents	50,624	9,825
Cash and cash equivalents, beginning of year	2,827	(6,998)
Cash and cash equivalents, end of year	$ 53,451	$ 2,827

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years ended December 31, 2009 and 2008
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2009.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company, which are in accordance with Canadian Generally Accepted Accounting Principles.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for at cost or at fair value depending on whether such investments are publicly traded.

(b) Use of estimates

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other related costs and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(c) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in other comprehensive income, a component of shareholders' equity, until realized.

(d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs provided to the Company's customers.

(e) Financial instruments

The Company's financial assets and financial liabilities are classified as held for trading, available-for-sale, held-to-maturity, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Available-for-sale financial assets are measured at fair value with changes in fair value recognized in other comprehensive income in the period in which they arise. Held-to-maturity financial assets, loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

Notes to the Consolidated Financial Statements

(f) Hedge accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, directly in other comprehensive income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through earnings without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheet, and subsequent changes in their fair value are recorded in the consolidated statement of earnings.

(g) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(h) Impairment or disposal of long-lived assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of the asset to the sum of the undiscounted cash flows expected to result from the use and eventual disposal of the asset or asset group. An impairment loss is recognized when the carrying amount is not recoverable and exceeds the fair value of the asset or asset group. Long-lived assets are classified as held for sale when certain criteria are met and the sale is expected to be completed within one year. The assets to be disposed of are separately presented in the balance sheet and reported at the lower of their carrying amount or fair value less costs to sell, and are no longer depreciated.



(i) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

(j) Financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized is included in interest expense for the year.

(k) Goodwill and other intangible assets

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes.

Definite life intangible assets are amortized on a straight-line basis over their estimated useful lives. Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2009 and 2008 and no impairments were identified.

(l) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date. A valuation allowance is recognized against future tax assets when it is more likely than not that all or some part of the asset will not be realized.

(m) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the fair value of assets at the beginning of the year and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

Notes to the Consolidated Financial Statements

(n) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(o) Accounting changes

(i) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods did not have a material impact on the Company's financial statements.

(ii) In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

(iii) In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. Each level is based on the transparency of the inputs used to measure the fair values of assets and liabilities:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. The Company has complied with the new disclosure requirements beginning in 2009 and this disclosure is presented in Note 9.

(p) Recent accounting pronouncements

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value on the acquisition date and is consistent with International Financial Reporting Standards ("IFRS"). Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011 with earlier adoption permitted.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011 with earlier adoption permitted. The Company is currently assessing the impact of the new standard on its financial statements.

In February 2008, the CICA announced that Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS") for fiscal years beginning on or after January 1, 2011. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

(q) Comparative figures
Certain 2008 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2009.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At December 31, 2009, trade accounts receivable being serviced under this program amounted to $70.0 million (2008: $70.0 million).

4. INVENTORIES

	2009	2008
Raw materials	$ 13,482	$ 16,182
Finished goods	19,875	20,304
Packaging	8,815	8,804
Spare parts	14,487	13,406
	$ 56,659	$ 58,696

5. PROPERTY AND EQUIPMENT

	2009	2008
Land	$ 25,840	$ 26,878
Buildings	179,586	180,023
Machinery and equipment	529,963	544,360
Construction in progress	28,899	46,785
	764,288	798,046
Less: Accumulated depreciation	377,036	380,896
	$ 387,252	$ 417,150

6. OTHER LONG-TERM ASSETS

	2009	2008
Deferred pension asset (Note 17)	$ 11,230	$ 9,684
Other assets	390	280
	$ 11,620	$ 9,964

7. OTHER INTANGIBLE ASSETS

	2009	2008
Customer relationships	$ 12,943	$ 12,478
Other	3,735	4,973
	$ 16,678	$ 17,451

Notes to the Consolidated Financial Statements

8. LONG-TERM DEBT

	2009	2008
Due to Maple Leaf (a)	$ 2,547	$ 4,446
Obligations under capital leases	–	72
	2,547	4,518
Less: Current portion	–	41
	$ 2,547	$ 4,477

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf Foods to provide liquidity for general corporate purposes, repayable on December 27, 2011. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest under these facilities with Maple Leaf Foods was $3.3 million in 2009 (2008: $4.4 million).

(b) The Company has a demand operating line of credit of £5.0 million ($8.5 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2009, £2.5 million ($4.2 million), (2008: £5.0 million; $8.9 million) was outstanding and has been classified as bank indebtedness.

(c) The Company has demand operating facilities of $20.5 million (2008: $22.2 million), which bear interest at short-term rates. At December 31, 2009, $nil was utilized under these facilities (2008: $6.0 million).

(d) The Company has a demand letter of credit facility of $10.0 million (2008: $10.0 million) of which $8.9 million as at December 31, 2009, (2008: $8.5 million) was utilized.

(e) The Company's weighted average cost of borrowing for 2009 was 4.5% (2008: 5.3%) after adjusting for unrealized derivative losses, resulting from terminated swaps, which were amortized to interest expense (Note 9).

Required repayments of long-term debt are as follows:

2010	$ –
2011	2,547
	$ 2,547

9. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs. The Company's primary credit facility with Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2009, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.



The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2009, total equity increased by $38.7 million to $747.1 million. During the same period, total debt net of cash, cash equivalents and currency swaps decreased by $52.6 million from a liability of $1.7 million to an asset position of $50.9 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Due to Maple Leaf Foods	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	Held for trading

(i) These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held for trading and all derivative financial instruments are recorded at fair value. The carrying value of long-term debt as at December 31, 2009 is $2.5 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired receivables that have not been provided for in the allowance for doubtful accounts. As at December 31, 2009, the Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 37% (2008: 28%) of consolidated accounts receivable at December 31, 2009 and the two largest customers comprise approximately 32% (2008: 31%) of consolidated sales.

Notes to the Consolidated Financial Statements

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at December 31, 2009		
	Due within 1 year	Due between 1 and 2 years	**Total**
Non-derivative financial liabilities			
Bank indebtedness	$ 4,247	$ –	**$ 4,247**
Accounts payable and accrued charges	172,172	–	**172,172**
Due to Maple Leaf Foods	3,817	–	**3,817**
Dividends payable	1,525	–	**1,525**
Long-term debt	–	2,547	**2,547**
Total	**$ 181,761**	**$2,547**	**$ 184,308**

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2009, the Company had available undrawn committed credit of $247.5 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. In addition, the Company's cash balances are typically invested in short-term interest bearing assets.

At December 31, 2009, the Company had variable rate debt of $6.8 million with a weighted average interest rate of 2.25%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2009, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 1.9%.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2009, 100.0% (2008: 16.1%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.



Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, a hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $2.4 million, an offsetting change in net earnings of $0.1 million and a corresponding change in other comprehensive income of $1.6 million.

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments are shown below:

	2009			2008		
	Notional Amount	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
CASH FLOW HEDGES						
Interest rate swaps[i]	$ –	$ –	$ –	$ 70,000	$ –	$ 10,219
Foreign exchange forward contracts[ii]	23,529	329	–	–	–	–
DERIVATIVES NOT DESIGNATED IN A FORMAL HEDGING RELATIONSHIP						
Foreign exchange forward contracts[ii]	$ 496	$ –	$ 6	$ 20,987	$ –	$ 153
Total		$ 329	$ 6		$ –	$ 10,372
Current		$ 329	$ 6		$ –	$ 2,977
Non-current		–	–		–	7,395
Total		$ 329	$ 6		$ –	$ 10,372

(i) On May 28, 2009, the Company paid Maple Leaf $8.5 million to settle its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $8.0 million of unrealized derivative losses as at December 31, 2009 which will be amortized to expense over the next five years.
(ii) Notional amounts are stated at the contractual Canadian dollar equivalent.

For the years ended December 31, 2009 and 2008, the amount of hedge ineffectiveness recognized in earnings was not material.

Notes to the Consolidated Financial Statements

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. The table below sets out fair value measurements of financial instruments using the fair value hierarchy as described in Note 2(o)(iii):

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 329	$ –	$ 329
Liabilities:				
Foreign exchange forward contracts	$ –	$ 6	$ –	$ 6

There were no transfers between levels during the year ended December 31, 2009.

10. OTHER LONG-TERM LIABILITIES

	2009	2008
Post-retirement benefit liability (Note 17)	$ 2,921	$ 2,988
Pension liability (Note 17)	3,991	3,887
Other	1,612	9,927
	$ 8,524	$ 16,802

11. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2009	2008
Share capital (25,416,812 common shares (2008: 25,416,812 common shares))	$ 142,965	$ 142,965
Retained earnings	658,541	587,163
Accumulated other comprehensive loss (Note 12)	(54,419)	(21,788)
	$ 747,087	$ 708,340

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2008 there were no issued and outstanding preference shares.

12. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

	2009	2008
Balance at the beginning of the year [i]	$ (21,788)	$ (36,249)
Adoption of new accounting standard (Note 2(o)[ii])	13	–
Adjusted balance at the beginning of the year	$ (21,775)	$ (36,249)
Change in accumulated foreign currency translation adjustment[i]	(34,398)	20,161
Change in unrealized loss on cash flow hedges – net[ii]	1,754	(5,700)
Other comprehensive income (loss) for the year	$ (32,644)	$ 14,461
Accumulated other comprehensive loss as at December 31	$ (54,419)	$ (21,788)

(i) Balance at the beginning of the current year is net of tax of $nil (2008: $nil). The change in accumulated foreign currency translation adjustment is net of tax of $nil for the 12 months ended December 31, 2009 (2008: $nil).
(ii) Change in unrealized derivative loss on cash flow hedges is net of tax of $0.8 million for the 12 months ended December 31, 2009 (2008: $1.9 million).

The Company estimates that $1.6 million of net unrealized derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by

future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $2.8 million (net of tax of $1.2 million) was released to income from accumulated other comprehensive loss, which is included in the net change for the year.

The ending balance of accumulated other comprehensive loss comprises accumulated unrealized foreign currency translation losses of $48.8 million, net of tax of $nil (2008: $14.4 million, net of tax of $nil) and unrealized loss on cash flow hedges of $5.6 million, net of tax of $2.0 million (2008: $7.4 million, net of tax of $2.8 million).

13. RESTRUCTURING AND OTHER RELATED COSTS

During 2009, the Company recorded restructuring and other related costs of $4.9 million ($3.7 million after-tax). These costs related primarily to the Company's announcement to consolidate its pasta and sandwich operations and recorded $3.5 million which included severances and a write down of $1.2 million related to the discontinuance of the Martel brand name. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

During 2008, the Company recorded restructuring and other related costs of $10.5 million ($8.1 million after-tax). The majority of these costs related to the closure of a bagel facility in Toronto, Ontario, and the closure of two facilities in the United Kingdom.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs and the corresponding liability as at December 31, 2009, all on a pre-tax basis:

	Severance	Site closing	Asset Impairment and accelerated depreciation	Retention	Total
Balance at December 31, 2007	**$ 2,822**	**$ 809**	**$ –**	**$ 55**	**$ 3,686**
Charges	979	5,070	4,443	–	**10,492**
Cash payments	(2,664)	(2,923)	–	(55)	**(5,642)**
Non-cash items	–	–	(4,443)	–	**(4,443)**
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ –**	**$ –**	**$ 4,093**
Charges during the year	2,003	527	2,378	–	**4,908**
Cash payments	(868)	(1,836)	–	–	**(2,704)**
Non-cash items	–	–	(2,378)	–	**(2,378)**
Balance at December 31, 2009	**$ 2,272**	**$ 1,647**	**$ –**	**$ –**	**$ 3,919**

14. OTHER INCOME

	2009	2008
Recovery from insurance claim[(i)]	**$ 2,548**	$ 14,746
Loss on sale of property and equipment	**(471)**	(103)
Other	**362**	59
	$ 2,439	$ 14,702

(i) The Company received an insurance settlement of approximately $2.5 million (2008: $14.7 million) to cover business interruption losses resulting from a fire at its bagel plant in the United Kingdom in 2008.

15. INTEREST EXPENSE

	2009	2008
Interest expense on securitized receivables (Note 3)	**$ 1,375**	$ 2,718
Interest expense on long-term debt (Note 8)	**3,265**	4,421
Other interest expense	**444**	704
	$ 5,084	$ 7,843

Notes to the Consolidated Financial Statements

16. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2009	2008
Income tax expense according to combined statutory rate of 31.4% (2008: 32.0%)	$ 35,458	$ 30,109
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(612)	(551)
Rate difference in foreign jurisdictions	(974)	(3,074)
Non-taxable gains	(101)	(123)
Non-taxable foreign currency gains	–	(430)
Valuation allowance – U.S. tax losses	718	3,540
Future tax rate changes	(821)	(726)
Non-deductible amounts	1,071	–
Other	767	318
	$ 35,506	$ 29,063

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2009	2008
Future tax assets:		
Accrued liabilities	$ 1,417	$ 2,450
Losses carried forward	41,815	46,800
Other	3,896	4,418
Valuation allowance	(32,359)	(38,827)
	$ 14,769	$ 14,841
Future tax liabilities:		
Property and equipment – differences in net book value and undepreciated capital cost	$ 26,030	$ 25,066
Goodwill	15,430	13,325
Other	5,007	7,105
	$ 46,467	$ 45,496
Classified in the consolidated financial statements as:		
Future tax asset – current	$ 1,640	$ 5,388
Future tax liability – non-current	(33,338)	(36,043)
Net future tax liability	$ (31,698)	$ (30,655)

In accordance with CICA Handbook Section 3465, “Accounting for Income Taxes”, the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company’s cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company’s accumulated tax losses in the U.S. frozen bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, the Company has recorded a valuation allowance of $24.1 million (US$23.0 million) as at December 31, 2009 (2008: $30.6 million (US$25.2 million)) with respect to accumulated tax losses in the U.S.



17. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2009	2008
Accrued benefit obligation:		
Balance, beginning of year	$ 112,745	$ 128,093
Current service cost	2,097	3,268
Interest cost	7,239	6,715
Benefits paid	(11,213)	(7,254)
Actuarial losses (gains)	11,918	(19,695)
Employee contributions	877	956
Special termination benefits	–	300
Curtailments	–	362
Balance, end of year	$ 123,663	$ 112,745
Plan assets:		
Fair value, beginning of year	$ 89,800	$ 106,618
Actual return on plan assets	13,591	(16,261)
Employer contributions	5,041	5,741
Employee contributions	877	956
Benefits paid	(11,213)	(7,254)
Fair value, end of year	$ 98,096	$ 89,800
Funded status – plan deficit	$ (25,567)	$ (22,945)
Unamortized transitional amount	(4,334)	(5,112)
Unamortized actuarial losses	34,128	30,556
Unamortized prior service costs	2,608	2,856
Net accrued benefit asset, end of year[(i)]	$ 6,835	$ 5,355

(i) Includes one defined benefit plan with an accrued benefit liability of $4.4 million (2008 :$4.3 million).

Amounts recognized in the consolidated balance sheet consist of:

	2009	2008
Other long-term assets (Note 6)	$ 11,230	$ 9,684
Accounts payable and accrued charges	404	442
Other long-term liabilities (Note 10)	3,991	3,887

The pension assets are invested in the following asset categories at December 31:

	2009	2008
Equity securities	56%	54%
Debt securities	44%	46%
	100%	100%

Notes to the Consolidated Financial Statements

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2009	2008
Discount rate used to calculate net benefit plan expense	6.50%	5.25%
Discount rate used to calculate year end accrued benefit obligation	5.75%	6.50%
Expected long-term rate of return on plan assets	7.25%	7.50%
Rate of compensation increase	3.50%	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2009	2008
Current service cost – defined contribution plans	$ 8,270	$ 7,633
Current service cost – defined benefit plans	2,097	3,268
Interest cost	7,239	6,715
Actual return on plan assets	(13,591)	16,261
Difference between actual and expected return on assets	7,108	(24,164)
Actuarial losses(gains) recognized	11,918	(19,695)
Difference between actual and recognized actuarial (gains)losses in the year	(10,681)	20,603
Amortization of transitional amount	(778)	(778)
Difference between prior service costs and actual plan amendments in the year	249	249
Curtailment loss	–	512
Special termination benefits	–	300
Net benefit plan expense	$ 11,831	$ 10,904

Measurement dates for defined benefit plan obligations and expense:

2009 Expense	December 31, 2008
Balance Sheet	December 31, 2009

In addition, the Company has accrued and included in other long-term liabilities $2.9 million (2008: $3.0 million) in respect of post-retirement benefit obligations. A one percentage change in health care cost trend would not have significant impact on the year end obligation or the 2009 current service cost and interest costs.

18. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services including; treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions, information system services, engineering services, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2009 for these services were $38.7 million (2008: $30.3 million).

19. ACQUISITIONS

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During the first quarter of 2009, the Company finalized the purchase equation, allocating $15.4 million to the identifiable net tangible assets of Martel at the

acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that are being amortized on a straight-line basis over ten years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

Details of net assets acquired and purchase adjustments made in 2009 and 2008 are as follows:

	2009	2008
Net working capital	$ (350)	$ 2,999
Future tax asset – non-current	(13)	164
Property and equipment	(2,445)	14,463
Intangible assets	3,200	6,312
Goodwill	(6)	22,220
Future tax liability – non-current	(63)	(1,800)
Other long-term liabilities	–	469
Total purchase cost	$ 323	$ 44,827

20. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with customers and purchase commitments with suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $7.9 million (2008: $9.3 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2010	$ 18,201
2011	13,240
2012	10,899
2013	8,992
2014	5,551
Thereafter	3,990
	$ 60,873

21. SUPPLEMENTAL CASH FLOW INFORMATION

	2009	2008
Net interest paid	$ 5,116	$ 7,780
Net income taxes paid	30,388	28,692

22. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

	2009	2008
Earnings available to common shareholders – basic and diluted	$ 77,478	$ 64,936
Weighted average common shares outstanding – basic and diluted (in thousands)	25,417	25,417
Basic and diluted earnings per share:	$ 3.05	$ 2.55

Notes to the Consolidated Financial Statements

23. SUBSEQUENT EVENT

On February 23, 2010, the Company declared a dividend of $0.06 per share, payable to shareholders of record as of March 10, 2010, on April 1, 2010.

24. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2009	2008
Sales		
Fresh Bakery	$ 1,119,790	$ 1,094,190
Frozen Bakery	585,998	614,140
	$ 1,705,788	$ 1,708,330
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	$ 91,535	$ 76,529
Frozen Bakery	29,002	21,103
	$ 120,537	$ 97,632
Capital expenditures		
Fresh Bakery	$ 21,722	$ 24,462
Frozen Bakery	19,937	29,708
	$ 41,659	$ 54,170
Depreciation and amortization		
Fresh Bakery	$ 27,632	$ 28,563
Frozen Bakery	26,393	26,862
	$ 54,025	$ 55,425
Total assets		
Fresh Bakery	$ 441,020	$ 440,733
Frozen Bakery	476,681	523,843
Non-allocated assets	68,711	30,334
	$ 986,412	$ 994,910
Goodwill		
Fresh Bakery	$ 155,946	$ 156,268
Frozen Bakery	230,861	248,216
	$ 386,807	$ 404,484